

CHAPTER 1: - ECONOMIC ENVIRONMENT

1. CONCEPT OF ECONOMIC ENVIRONMENT

Economic environment is a combination of the words economic and environment. Economic refers to all activities related to the production, distribution, exchange, and consumption of goods and services. Environment refers to all external economic forces and conditions that influence the functioning of a business. It includes factors such as economic growth, inflation, interest rates, income levels, employment, fiscal policy, and monetary policy. These factors create opportunities as well as challenges for business organisations and are generally beyond the control of management.

Definitions of Economic Environment

Bayard O Wheeler, “The total of all things external to firms and industries, which affect their organisation and operation”.

Keith Davis defines business environment in his famous book “The challenges of business” as “Economic environment is the aggregate of all conditions, events and influences that surround and affect it.”

Thus, Economic environment encompasses all those factors (internal and external) that affect a company’s operations and include strengths, weaknesses, internal power relationships, orientations of the organisation, nature of economy and economic conditions, social cultural factors, demographic trends, natural factors, global trends and cross-border development, clients and suppliers, technological developments, laws and government activities.

NATURE OF ECONOMIC ENVIRONMENT-

The business environment possesses several characteristics that influence the functioning and decision-making of an organisation. The major characteristics are as follows:

1. Interdependence

The business environment consists of economic, social, political, legal, technological, and other factors. These factors are interrelated, and a change in one factor often affects the others.

2. Dynamic Nature

The business environment is dynamic because it changes continuously over time due to developments in technology, government policies, consumer preferences, and market conditions.

3. Complexity

The business environment comprises numerous internal and external forces that interact simultaneously, making complex business decisions.

4. Uncertainty

Future business conditions cannot be predicted with complete accuracy because unexpected events may occur at any time.

5. Multidimensional Nature

The business environment includes various dimensions such as economic, social, political, legal, technological, financial, and natural factors, all of which influence business decisions.

6. Relativity

The impact of the business environment differs from one country, industry, or organization to another. High interest rates may adversely affect the real estate sector but have a relatively smaller impact on software companies.

7. Opportunity-Oriented

A changing business environment creates new opportunities for growth, innovation, and expansion. The increasing demand for electric vehicles has created new opportunities for battery manufacturers and charging infrastructure companies.

8. Risk and Threat

Environmental changes may also create risks and challenges for businesses if they fail to adapt. A clothing retailer that does not adopt online selling may lose customers to e-commerce platforms.

9. Need for Continuous Monitoring

Businesses must regularly observe and analyse environmental changes to make timely decisions and remain competitive. Mobile phone companies continuously monitor customer preferences before introducing new smartphone models.

10. Adaptability and Flexibility

Business organisations must adapt their strategies, policies, and operations according to changes in the environment to ensure long-term success. Many restaurants introduced online ordering and home delivery services after the pandemic to meet changing customer needs.

ELEMENTS OF ECONOMIC ENVIRONMENT

1. Internal Environment

The internal environment refers to the factors that exist within a business organisation. These factors are generally controllable because the company has direct control over them. They determine the firm's strengths, weaknesses, and its ability to respond effectively to environmental challenges.

A. Corporate Culture and Value System

Persons holding top positions in modern corporate enterprises possess certain values that influence the organisation's policies, ethics, norms, working style, systems, symbols, and overall internal environment. This collective behaviour and shared beliefs form the corporate culture of the organisation.

Example: Tata Group is known for its strong ethical values, integrity, social responsibility, and employee-oriented culture. These values guide its business decisions and enhance its reputation.

B. Vision, Mission and Objectives

The vision, mission, and objectives of a company provide direction to its activities and guide its priorities, philosophy, strategies, and policies. They help employees understand the long-term purpose and goals of the organisation.

Google – "To organize the world's information"

C Top Management Structure

The composition of the Board of Directors and the top management team is a critical factor in the development of a company. These individuals are the highest decision-making authorities. Organisations may be professionally managed or family-controlled, and this influences their management style and efficiency. Infosys follows a professional management structure with experienced executives and an independent Board of Directors, ensuring transparency and effective governance.

D. Power Structure

The internal power relationship between the Board of Directors, Chief Executive Officer (CEO), and senior executives significantly influences the decision-making process and organisational effectiveness.

E. Human and Other Resources

The quality of human resources depends on employees' competence, commitment, attitude, skills, and motivation. Efficient employees improve productivity, innovation, and organisational performance. Other resources include financial resources, information systems, and organisational capabilities.

F. Company Image and Brand Equity

A company's image and brand equity influence customer trust, investor confidence, business partnerships, raising finance, selecting suppliers, and entering into joint ventures. Apple enjoys high brand equity worldwide. Customers willingly pay premium prices because they associate the brand with quality, innovation, and reliability.

G. Physical Resources and Technology

Physical resources include land, buildings, machinery, equipment, production capacity, logistics, and research & development (R&D) facilities. The level of technology adopted by a company directly affects productivity, product quality, cost efficiency, and competitiveness. Tesla uses advanced automation, artificial intelligence, and modern manufacturing technology in its factories, enabling efficient production and maintaining a competitive advantage in the electric vehicle market.

H. External Environment-

It refers to external aspects of the surroundings of business enterprise, which have influence on the functioning of business. It can be categorized into two parts-

A. Micro Environment

Micro or task environment comprises those forces in the immediate vicinity of an organisation that influence its functioning. The micro forces need not necessarily affect all the firms in a particular industry in same way. Some of micro factors may be particular to a firm.

1. Suppliers- A supplier provides raw material to business. If supplier delay to supply raw materials or stop to supply then production of business will be stopped due to lack of raw material supply.

2. Customers- They are the highly influential as they are the central point of every business. success of business largely depends on identifying the need, desire, tastes liking etc. of a customers.

3. Market Intermediaries- It includes agents, brokers, who help the company to find customers. This acts as a link between company and final consumer.

4. Competitors- Activities of a business adjust according to the actions and reactions of competitors.

5. Financial Intermediaries- As business grows; it needs more money for its growth either this money can be obtained by issuing new shares or by borrowing money from the financial intermediaries.

6. Public- Any group that has actual or potential interest in the business has its impact on the business. Ex- growth of consumer groups may effect the working of a newly developed business.

B. Macro Environment-

It has major external and uncontrollable factors that influence organisation's decision-making and affect its performance and strategies. When the macro environment is uncontrollable, the success of a company depends on its adaptability to the environment.

1. Economic Environment-

Economic environment refers to the overall economic factors like economic philosophy of the country, economic structure, planning, economic policies, controls and regulations etc. These factors include gross national product, corporate profits, inflation rate, employment, balance of payments, interest rates, consumer income etc.

2. Demographic Environment – It refers to the size, age, growth rate, distribution, and characteristics of the population in a country. It includes factors such as population growth, literacy rate, income level, education, occupation, and urbanisation. Changes in demographic factors influence consumer demand, labour supply, market size, and business decisions.

3. Political Environment-

The political environment comprises three organs of the government: the Legislature, the Executive, and the Judiciary. The Legislature enacts laws, the Executive implements and enforces them, and the Judiciary interprets the laws and resolves legal disputes. The political and economic systems of a country are closely interrelated, with each influencing the other. A stable political environment encourages business growth, foreign investment, and international collaboration. Since business decisions are largely influenced by government policies and regulations, frequent changes in these policies create uncertainty and may compel business organisations to modify their strategies, making business operations more challenging.

4. Social and Cultural Environment-

Social responsibility of business is an important force that modern business organizations cannot wriggle out of their duties and responsibilities towards the society. For example- every leather manufacturing or process unit is made to install pollution prevention system. Culture environment refers to the values, norms, beliefs, customs, ethics, goals and other accepted behavioural pattern of people in a country.

5. Technological Environment-

In a competitive business environment technology is the key to development. Supported by computerized operations, modern business organizations have succeeded in analyzing customers, minimizing the defects in products, ensuring service at the right time and place, etc. Modern organizations have recognized that research and development alone can ensure organizational growth and stability.

6. Legal Environment-

It has a great impact on functioning of the organisation as it establishes codes and procedures for various types and aspects of business and deals with deviations or infringement law like bribery, product counterfeiting, gray markets, black markets, consumer deception and tax evasions. Every country has specific business laws that guide, regulate, and control business activities. In India, important business legislations include the Trade Marks Act, 1999, the Essential Commodities Act, 1955, and the Consumer Protection Act, 2019.

7. Natural Environment (Geographical and ecological environment) –

Business cannot fully control natural environment. First the environment is the source of resource as raw material and secondly, it has caused damage in the process of production.

8. Financial Environment-

Business finance is concerned with making decisions about the investments in the business. It includes bond markets, forex markets, stock markets, commodity markets, OTC markets, Real estate markets and cash or spot markets.

9. Global or International Environment-

It includes rules and regulations of WTO (World Trade Organisation), IMF (International Monetary Fund), WORLD BANK , SAARC (South Asian Association for Regional Cooperation) and other international bodies which duly effect the business organisation operating their business in any country.